

Candidate Pipeline — Executive Summary

2026-04-17 18:38 UTC · 5 candidate(s)

How to read this report. Each candidate gets a full page that walks through the case in plain English. The layout: (1) **One-liner** — the situation in one sentence; (2) **Hypothesis** — the specific bet we're making; (3) **Thesis** — the narrative with enough background for a non-specialist to follow; (4) **Expected outcome** — what happens if we're right; (5) **Price targets** — explicit \$ moves and % up/down from today's price; (6) **Time sensitivity** — how urgent, with a concrete window; (7) **Kill watch** — what would invalidate the thesis. Full dossiers are in **detail_book.pdf**. Sorted by urgency and proximity to catalyst.

#	Ticker	Next catalyst	T-days	Urgency	One-line situation
1	RPAY	2026-04-14	T-3	HIGH	Forager Capital published a \$4.80/share all-cash take-out offer for Repay on April 17, 2026; stock at \$3.18 implies a 51% spread — the market is pricing meaningful rejection risk. → Potential outcomes: board engages / sweetened bid emerges (+30-70%), strategic buyer counter-bids (+55-120%), board rejects and stock drifts (-5-10%), or activist retreats after fight (-10-20%).
2	AXSM	2026-04-30	T+13	HIGH	FDA decision April 30 for the first-ever drug approved specifically for Alzheimer's agitation — a \$5B+ unmet need. → Potential outcomes: clean approval with broad label (+15-30%, sustained re-rating), narrow label approval (+5-10%), or Complete Response Letter (-21-29%).
3	RGR	2026-05-27	T+40	HIGH	Beretta Holding has filed a proxy fight AND proposed a \$44.80/share partial tender offer (+20% premium) for 20.05% of Sturm Ruger — AGM May 27, 2026; the poison-pill waiver vote is the binary. → Potential outcomes: board waives pill + tender executes (+10-20%), negotiated settlement with board seats (+8-15%), proxy fight won by Beretta (+20-35%), or Beretta loses and stays as 9.95% holder (-5-10%).
4	VERA	2026-07-07	T+81	HIGH	Small-cap biotech with the best Phase 3 data in IgA Nephropathy, heading into FDA decision July 7. → Potential outcomes: approval + broadest label (+78-113%), approval + competitive label (+37-61%), or Complete Response Letter (-48-57%).
5	VRDN	—	—	HIGH	Viridian's stock crashed 51% on issues unrelated to the drug being reviewed on June 30 (Thyroid Eye Disease). → Potential outcomes: FDA approval with broad label (+36-105%), approval with narrow label (+20-40%), or Complete Response Letter (-45-66%).

— Full case per candidate on following pages —

#1 RPAY · RPAY — Forager Fund vs Repay Holdings Poison Pill

Stage: **ACTIVE** | Strategy: EDGAR (governance keyword: "rights plan" + "poison pill") + | Score: 30.0 | Next catalyst: 2026-04-14 (T-3) | Urgency: **HIGH**

Forager Capital published a \$4.80/share all-cash take-out offer for Repay on April 17, 2026; stock at \$3.18 implies a 51% spread — the market is pricing meaningful rejection risk. → Potential outcomes: board engages / sweetened bid emerges (+30-70%), strategic buyer counter-bids (+55-120%), board rejects and stock drifts (-5-10%), or activist retreats after fight (-10-20%).

HYPOTHESIS (the specific bet)

Forager's public \$4.80/share offer forces Repay's board into a formal response window (SEC rules: ~10 business days). Either (a) board engages, strategic review starts, stock converges toward \$4-5, or (b) a strategic buyer emerges given the public auction dynamic now in motion.

THESIS (why we believe it, in plain English)

The pre-activist pre-edge window is now closed — Forager's offer was published this morning (April 17). What remains is the BOARD-RESPONSE edge: the 51% spread (\$3.18 vs \$4.80) tells us the market is skeptical the board will accept. Small-cap payments processors with a public take-out offer + poison pill + 11.9% activist + shareholder lawsuits (ATG) historically converge OR trigger counter-bids within 30-60 days. Note: this is less pre-edge than the other active names; kept as active because the specific OUTCOME (accept/reject/counter) is still unpriced.

EXPECTED OUTCOME (what happens if we're right)

Most likely (50%): board engages, sweetened offer at \$5.00-5.25 or strategic review, stock +30-70% to \$4.00-5.25. Next (20%): strategic buyer counter-bids at \$5.50-7.00, stock +73-120%. Base reject (20%): board rejects without counter, stock drifts to \$2.85-3.00 (-5 to -10%). Worst (10%): activist retreats, stock reverts toward pre-activity levels of \$2.60-2.80 (-12 to -18%).

PRICE TARGETS

Reference	\$3.18 (2026-04-17)
Upside (base)	\$4.00-5.25 (+26% to +65%) — board engages / sweetened offer
Upside (best)	\$5.50-7.00 (+73% to +120%) — strategic counter-bid
Downside	\$2.60-3.00 (-6% to -18%) — board rejects, activist retreats

TIME SENSITIVITY [HIGH]

HIGH — Board response window 10 business days per SEC custom (roughly end of April). Half-life of the edge is ~30 days; once the board publicly responds, most of the move prints. Note: less pre-edge than AXSM/VERA/VRDN — offer is public, just the OUTCOME is unpriced.

KILL WATCH (what would invalidate the thesis)

Board rejects publicly with no strategic review announced. Forager files 13D/A reducing stake. KUBRA acquisition closes before board responds (dilutes activist leverage). Second activist (ATG, Veradace) drops lawsuit.

#2 AXSM · AXSM — AXS-05 Alzheimer Disease Agitation PDUFA (April 30, 2026)

Stage: **ACTIVE** | Strategy: binary_catalyst | Score: 30.8 | Next catalyst: 2026-04-30 (T+13) | Urgency: **HIGH**

FDA decision April 30 for the first-ever drug approved specifically for Alzheimer's agitation — a \$5B+ unmet need. → Potential outcomes: clean approval with broad label (+15-30%, sustained re-rating), narrow label approval (+5-10%), or Complete Response Letter (-21-29%).

HYPOTHESIS *(the specific bet)*

The FDA approves AXS-05 (dextromethorphan/bupropion) for Alzheimer's Disease Agitation on April 30, 2026, and AXSM re-rates as the market recognizes a new multi-billion dollar franchise into an unmet need.

THESIS *(why we believe it, in plain English)*

Alzheimer's Disease Agitation (ADA) is one of the most distressing symptoms of Alzheimer's — aggression, restlessness, shouting — and currently NO FDA-approved drug exists for it (physicians use antipsychotics off-label, which carry black-box warnings in the elderly). AXS-05 is already approved for major depression (as Auvelity) and now seeks the ADA indication. Phase 3 ACCORD met its primary endpoint; the label, if granted, unlocks access to 30%+ of Alzheimer's patients. AXSM is a mid-cap specialty pharma with commercial infrastructure in place from Auvelity. Even modest ADA penetration translates to \$1-2B in annual sales within 3-4 years. The market has partially priced approval but is leaving most launch value on the table because biotech investors discount pre-launch catalysts until proof-of-commercial-traction arrives.

EXPECTED OUTCOME *(what happens if we're right)*

Approval + clean label (no black-box, broad population): +15-30% on the day, sustained re-rating. Approval narrow label: +5-10%. CRL: -20 to -35%.

PRICE TARGETS

Reference	\$184.19 (2026-04-16 close)
Upside (base)	\$215-235 (+17% to +28%) — clean approval, standard label
Upside (best)	\$260-300 (+41% to +63%) — broad label + analyst model upgrades post-launch
Downside	\$130-145 (-21% to -29%) — Complete Response Letter

TIME SENSITIVITY **[HIGH]**

HIGH — PDUFA April 30 (13 days). Position should already be built or completed in next 3-5 trading days. After day 10 before PDUFA, IV premium prohibitive for new entries.

KILL WATCH *(what would invalidate the thesis)*

FDA Major Amendment delay (PDUFA pushed 3 months). Negative AdCom surprise (note: no AdCom currently scheduled, mildly positive). New safety signal in post-market Auvelity.

#3 RGR · RGR — Beretta Holding Proxy Fight

Stage: **ACTIVE** | Strategy: Activist proxy contest (EDGAR) | Score: — | Next catalyst: 2026-05-27 (T+40) | Urgency: **HIGH**

Beretta Holding has filed a proxy fight AND proposed a \$44.80/share partial tender offer (+20% premium) for 20.05% of Sturm Ruger — AGM May 27, 2026; the poison-pill waiver vote is the binary. → Potential outcomes: board waives pill + tender executes (+10-20%), negotiated settlement with board seats (+8-15%), proxy fight won by Beretta (+20-35%), or Beretta loses and stays as 9.95% holder (-5-10%).

HYPOTHESIS *(the specific bet)*

At or before Ruger's May 27, 2026 AGM, either (a) the board waives the October 2025 poison pill to let Beretta's \$44.80 tender proceed (converging stock toward \$44.80 + strategic premium), or (b) Beretta's 4-person slate succeeds, triggering pill removal + tender — in both cases stock re-rates significantly from \$41.98.

THESIS *(why we believe it, in plain English)*

A proxy fight = a shareholder nominates their own board candidates seeking to replace incumbents. Beretta Holding — the family-controlled Italian conglomerate that owns Beretta firearms, Benelli, and Sako — accumulated a ~10% stake in Sturm Ruger (RGR) and filed proxy materials to nominate their own slate. Ruger is the iconic American firearms maker. The filing signals either (a) Beretta wants consolidation in the global firearms industry, (b) Beretta sees RGR as strategically undervalued and wants operational changes, or (c) Beretta is positioning for a larger stake or acquisition. Any of these resolutions tends to be stock-positive: Beretta wins and pushes changes; RGR settles with board seats; or a strategic transaction is announced.

EXPECTED OUTCOME *(what happens if we're right)*

Most likely: Beretta + Ruger negotiate a settlement before the AM — Beretta gets 2-3 seats and governance concessions, stock +10-20%. Less likely but higher value: strategic transaction announced (+25-40%). Downside bounded: even if Beretta loses the vote, the 10% stake is a floor.

PRICE TARGETS

Reference	\$41.98 (2026-04-17 intraday)
Upside (base)	\$46-50 (+10% to +20%) — negotiated settlement with board seats
Upside (best)	\$52-58 (+25% to +40%) — strategic transaction / consolidation
Downside	\$38-40 (-5% to -9%) — Beretta loses vote but stays as holder

TIME SENSITIVITY **[HIGH]**

MEDIUM-HIGH — AM date not yet fixed (placeholder in filings). Historically late April to early May; contest filing pattern suggests late May or June 2026. Ruger's DEF 14A (company's definitive proxy) will set the date — expected within 2-4 weeks. Enter now while volume is still low; window narrows once the date is announced.

KILL WATCH *(what would invalidate the thesis)*

Beretta withdraws proxy materials without a settlement. ISS + Glass Lewis both recommend AGAINST Beretta's slate. Ruger adopts poison pill with exclusionary trigger. Firearms-sector liability verdict shocks RGR fundamentals.

#4 VERA · VERA — Vera Therapeutics — Atacicept IgAN BLA — PDUFA July 7, 2026

Stage: **ACTIVE** | Strategy: FDA PDUFA Calendar | Score: 30.5 | Next catalyst: 2026-07-07 (T+81) | Urgency: **HIGH**

Small-cap biotech with the best Phase 3 data in IgA Nephropathy, heading into FDA decision July 7. → Potential outcomes: approval + broadest label (+78-113%), approval + competitive label (+37-61%), or Complete Response Letter (-48-57%).

HYPOTHESIS *(the specific bet)*

The FDA approves atacicept for IgA Nephropathy on July 7, 2026, and the stock re-rates 40-60% as the market recognizes atacicept is not a me-too entry — it has the strongest efficacy in class.

THESIS *(why we believe it, in plain English)*

IgA Nephropathy (IgAN) is an autoimmune kidney disease where mis-folded antibodies clog the kidney filter. The market already has approved drugs (Travere's FILSPARI, Calliditas's TARPEYO), but atacicept targets the upstream B-cell driver via BAFF/APRIL inhibition. Phase 3 (ORIGIN-3) showed a 46% proteinuria reduction at 36 weeks — the best in class. Priority Review granted, NO AdCom required — both positive. WHY the stock is beaten down: small-cap biotechs with a single product and pending PDUFA routinely suffer 'approval anxiety' dislocations — investors rotate out into the event and back in on approval. The current price implies high-30s-percent probability of approval; the actual probability based on the data package is 75-85%.

EXPECTED OUTCOME *(what happens if we're right)*

Approval + clean label: +50-80% over the following month as analysts update models (atacicept would leapfrog the class). Approval narrow label (stage-limited): +25-40%. CRL: -50 to -65%.

PRICE TARGETS

Reference	\$43.72 (2026-04-15)
Upside (base)	\$58-68 (+37% to +61%) — approval with competitive label
Upside (best)	\$75-90 (+78% to +113%) — approval with broadest label + acquisition interest
Downside	\$18-22 (-48% to -57%) — Complete Response Letter

TIME SENSITIVITY **[HIGH]**

HIGH — PDUFA July 7, 2026 (81 days). Enter now or over next 2-3 weeks — after mid-May the event-week premium compresses entry economics. No AdCom scheduled (positive); watch for last-minute AdCom announcement.

KILL WATCH *(what would invalidate the thesis)*

FDA announces AdCom (implies regulatory uncertainty). Major Amendment extension pushes PDUFA to October. Novartis iptacopan or Chinook atrasentan report unexpectedly strong Phase 3.

#5 VRDN · VRDN — Veligrotug PDUFA (Thyroid Eye Disease)

Stage: **ACTIVE** | Strategy: FDA PDUFA | Score: 31.5 | Next catalyst: — | Urgency: **HIGH**

Viridian's stock crashed 51% on issues unrelated to the drug being reviewed on June 30 (Thyroid Eye Disease). → Potential outcomes: FDA approval with broad label (+36-105%), approval with narrow label (+20-40%), or Complete Response Letter (-45-66%).

HYPOTHESIS (the specific bet)

The FDA approves veligrotug for Thyroid Eye Disease on June 30, 2026, and the stock re-rates from \$14.66 toward \$20-30 (+36% to +105%) as the dislocation-driven selloff reverses.

THESIS (why we believe it, in plain English)

Thyroid Eye Disease (TED) is a disfiguring autoimmune condition where eye muscles swell and bulge. Only one drug is approved (Horizon/Amgen Tepezza, 8 infusions). Viridian's veligrotug has THREE advantages: (a) only 5 infusions vs. 8 — fewer visits, better compliance; (b) two positive Phase 3 trials covering BOTH active AND chronic TED (Tepezza is used mostly in active); (c) better hearing-loss safety (5.5% placebo-adjusted vs. ~10% — hearing loss is the most feared side effect). The BLA has Priority Review AND Breakthrough Therapy. WHY the crash from \$34 to \$14.66: (1) Viridian's DIFFERENT drug — elegrobart — reported Phase 3 data March 30 that disappointed investors, 27% one-day drop; (2) Amgen's positive Phase 3 for subcutaneous Tepezza in early April raised competitive fears. CRITICAL: neither affects veligrotug's approval probability. Stock now below even the most bearish analyst target (\$20).

EXPECTED OUTCOME (what happens if we're right)

Approval June 30 (high probability given data package): stock rebounds toward low-end sellside targets. Best case (broad label covering active + chronic, clean safety): mid-\$20s. Ceiling \$30-34 only if elegrobart REVEAL-2 also positive. Worst case (CRL): \$5-8.

PRICE TARGETS

Reference	\$18.84 (2026-04-05)
Upside (base)	\$20-22 (+36% to +50%) — approval with standard label
Upside (best)	\$28-30 (+91% to +105%) — approval + elegrobart REVEAL-2 positive
Downside	\$5-8 (-45% to -66%) — CRL scenario

TIME SENSITIVITY [HIGH]

HIGH — PDUFA June 30, 2026 (74 days). Enter now — 10+ weeks of runway allows accumulation without paying event-week premium. Elegrobart REVEAL-2 readout in Q2 provides secondary catalyst.

KILL WATCH (what would invalidate the thesis)

FDA information request signaling 'Major Amendment' (pushes PDUFA 3 months). Hearing-loss safety signal in post-market Tepezza updates. Elegrobart REVEAL-2 misses badly + management signals dilution.

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